

# Inflation Risk Premia in Switzerland versus Australia

## Comparing a Safe-Haven Economy and a Commodity-Exposed Economy

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### Abstract

This paper compares the inflation risk premium in Switzerland and Australia. The central claim is that Australia's inflation risk premium is materially higher than Switzerland's, especially at short and medium maturities, while Switzerland's premium is low, compressed, and harder to observe directly. The paper develops a no-arbitrage decomposition of inflation compensation, a macro-financial model of geopolitical and energy shocks, a political-economy interpretation of monetary credibility, and an empirical algorithm for extracting latent inflation risk premia from bond, inflation-linked bond, survey, exchange-rate, and macroeconomic data. The analysis emphasizes a measurement asymmetry: Australia has Treasury Indexed Bonds and inflation-linked pricing signals, though these markets are modest in size and liquidity; Switzerland has weaker direct market observability, so its inflation risk premium must be inferred more heavily from macro fundamentals, policy credibility, safe-haven currency dynamics, and term-structure restrictions.

The paper ends with "The End"

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## 1 Introduction

Inflation risk premia compensate nominal fixed-income investors for uncertainty about future inflation. They are not the same as expected inflation. A country may have high expected inflation but a low inflation risk premium if inflation is predictable, or low expected inflation but a high inflation risk premium if the distribution of future inflation is unstable. The comparison between Switzerland and Australia is therefore not merely a comparison of consumer price inflation. It is a comparison of the covariance between inflation surprises and states of the world that investors dislike.

The conclusion of this paper is:

$$\text{IRP}_{\text{AU}}(T) > \text{IRP}_{\text{CH}}(T)$$

for economically relevant short and medium horizons  $T$ , with a smaller but still positive gap at long horizons. Australia has higher current inflation, greater exposure to energy and commodity pass-through, a housing and construction cost channel, and a more visible market for inflation-linked securities. Switzerland has low inflation, a strong safe-haven currency, a central bank with high anti-inflation credibility, and weaker direct inflation-linked market observability.

## 2 Empirical Starting Point

Table 1 summarizes the factual starting point.

Table 1: Inflation-risk comparison: Switzerland and Australia

| Dimension                     | Switzerland                                                                                                                                  | Australia                                                                                                                                                            |
|-------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Inflation state               | Low inflation; April 2026 CPI release reported by the Federal Statistical Office.                                                            | April 2026 CPI inflation was 4.2% year-on-year; trimmed mean inflation was 3.4%.                                                                                     |
| Central-bank outlook          | The Swiss National Bank judged inflation to remain within the range consistent with price stability, despite short-term energy pressure.     | The Reserve Bank of Australia projected headline inflation to peak at 4.8% in the June quarter of 2026 and trimmed mean inflation to remain above 3% until mid-2027. |
| Currency channel              | The Swiss franc acts as a safe-haven currency; appreciation can damp imported inflation.                                                     | The Australian dollar is more commodity-sensitive and risk-sensitive; depreciation can raise imported inflation.                                                     |
| Market observability          | Direct extraction is difficult because there is no deep domestic Swiss inflation-linked sovereign curve comparable to larger linker markets. | Treasury Indexed Bonds and inflation-linked markets provide signals, though the RBA notes that liquidity and risk premia complicate interpretation.                  |
| Likely inflation risk premium | Low, near zero, or compressed by safe-haven demand.                                                                                          | Positive, higher, and more volatile, particularly at horizons affected by energy, housing, wage, and policy-risk shocks.                                             |

### 3 Inflation Compensation and the Inflation Risk Premium

Let  $P_t^N(T)$  denote the price at time  $t$  of a nominal zero-coupon bond maturing at  $T$ , and let  $P_t^R(T)$  denote the price of a real or inflation-indexed zero-coupon bond. Their continuously compounded yields are

$$y_t^N(T) = -\frac{1}{T-t} \log P_t^N(T), \quad y_t^R(T) = -\frac{1}{T-t} \log P_t^R(T).$$

The breakeven inflation rate is

$$\text{BEI}_t(T) = y_t^N(T) - y_t^R(T).$$

**Definition 1** (Inflation risk premium). *The inflation risk premium  $\text{IRP}_t(T)$  is the component of inflation compensation that remains after removing expected average inflation and liquidity, tax, indexation-lag, convexity, and technical effects:*

$$\text{IRP}_t(T) = \text{BEI}_t(T) - \mathbb{E}_t \bar{\pi}_{t,T} - \text{Liq}_t(T) - \Theta_t(T),$$

where

$$\bar{\pi}_{t,T} = \frac{1}{T-t} \int_t^T \pi_s ds$$

is average future inflation,  $\text{Liq}_t(T)$  is the real-bond or swap-market liquidity adjustment, and  $\Theta_t(T)$  collects indexation-lag, convexity, tax, and design effects.

In a frictionless representative-agent model, the real stochastic discount factor  $M_{t,T}^R$  prices real payoffs. A nominal payoff of one unit at  $T$  has real value  $\exp(-X_{t,T})$ , where

$$X_{t,T} = \int_t^T \pi_s ds.$$

Hence

$$P_t^N(T) = \mathbb{E}_t [M_{t,T}^R \exp(-X_{t,T})], \quad P_t^R(T) = \mathbb{E}_t [M_{t,T}^R].$$

Inflation risk premia arise because  $M_{t,T}^R$  and  $X_{t,T}$  are not independent.

**Proposition 1** (Covariance representation). *Suppose  $\log M_{t,T}^R$  and  $X_{t,T}$  are conditionally jointly Gaussian. Then the breakeven inflation rate can be decomposed as*

$$\text{BEI}_t(T) = \mathbb{E}_t \bar{\pi}_{t,T} + \frac{1}{T-t} \left[ \frac{1}{2} \text{Var}_t(X_{t,T}) - \text{Cov}_t(\log M_{t,T}^R, X_{t,T}) \right] - \text{Liq}_t(T) - \Theta_t(T).$$

Thus, ignoring technical terms, the inflation risk premium is

$$\text{IRP}_t(T) = \frac{1}{T-t} \left[ \frac{1}{2} \text{Var}_t(X_{t,T}) - \text{Cov}_t(\log M_{t,T}^R, X_{t,T}) \right].$$

*Proof.* By joint lognormality,

$$\log \mathbb{E}_t [M_{t,T}^R \exp(-X_{t,T})] = \mathbb{E}_t [\log M_{t,T}^R - X_{t,T}] + \frac{1}{2} \text{Var}_t(\log M_{t,T}^R - X_{t,T}).$$

Similarly,

$$\log \mathbb{E}_t [M_{t,T}^R] = \mathbb{E}_t [\log M_{t,T}^R] + \frac{1}{2} \text{Var}_t(\log M_{t,T}^R).$$

Taking the difference between nominal and real yields gives

$$\text{BEI}_t(T) = \frac{1}{T-t} \left[ \mathbb{E}_t X_{t,T} + \frac{1}{2} \text{Var}_t(X_{t,T}) - \text{Cov}_t(\log M_{t,T}^R, X_{t,T}) \right],$$

before liquidity and technical corrections. Since  $\mathbb{E}_t X_{t,T}/(T-t) = \mathbb{E}_t \bar{\pi}_{t,T}$ , the result follows.  $\square$

This formula clarifies why inflation risk premia are political-economic objects, not merely statistical objects. They depend on the variance of inflation and on whether inflation is high precisely when marginal utility is high, markets are stressed, energy security is impaired, war risk rises, or monetary credibility is questioned.

## 4 Structural Macro-Financial Model

Let  $i \in \{\text{CH}, \text{AU}\}$  denote Switzerland or Australia. Inflation follows

$$\pi_{i,t+1} = \mu_i + \rho_i(\pi_{i,t} - \mu_i) + \lambda_i^E E_{t+1} + \lambda_i^X \Delta x_{i,t+1} + \lambda_i^W W_{i,t+1} + \lambda_i^H H_{t+1} + \varepsilon_{i,t+1},$$

where:

$E_t$  is an energy-price shock.

$\Delta x_{i,t}$  is currency depreciation pressure, with  $x$  measured as domestic currency per unit of foreign currency.

$W_{i,t}$  is wage and domestic capacity pressure.

$H_t$  is geopolitical conflict intensity, including war, sanctions, shipping-route disruptions, and energy-security risk.

$\varepsilon_{i,t}$  is an idiosyncratic inflation innovation.

The country-specific inflation risk premium is approximately increasing in the variance and priced covariance of these shocks:

$$\text{IRP}_i(T) \approx a_T [(\lambda_i^E)^2 \sigma_E^2 + (\lambda_i^X)^2 \sigma_{X,i}^2 + (\lambda_i^W)^2 \sigma_{W,i}^2 + (\lambda_i^H)^2 \sigma_H^2 + 2\lambda_i^E \lambda_i^H \sigma_{EH}] + b_T \Gamma_i,$$

where  $\Gamma_i$  is the covariance of domestic inflation with bad global states.

For Australia,  $\lambda_{\text{AU}}^E$ ,  $\lambda_{\text{AU}}^W$ , and  $\lambda_{\text{AU}}^H$  are larger because energy, transport, housing, construction, and imported-cost channels are stronger. For Switzerland,  $\lambda_{\text{CH}}^X$  is dampened by the safe-haven behavior of the Swiss franc, and energy has lower relative CPI significance.

## 5 Political Economy and Institutional Credibility

Inflation risk premia are shaped by monetary institutions. Let  $\kappa_i$  denote policy credibility. A reduced-form premium equation is

$$\text{IRP}_i(T) = \alpha_T \sigma_{\pi,i}^2 + \beta_T \Pr(\pi > \pi_i^*) + \gamma_T \Pr(\text{fiscal dominance}) - \delta_T \kappa_i + \eta_T \Omega_i,$$

where  $\pi_i^*$  is the upper bound of the politically tolerated inflation range, and  $\Omega_i$  is geopolitical exposure.

Switzerland has high monetary credibility, low observed inflation, and a currency that appreciates in global stress. Australia also has a credible central bank, but its current inflation state is further above target and its economy is more exposed to commodity, transport, construction, and wage pass-through. Therefore, even if long-run expectations remain anchored, the short-run distribution is wider in Australia.

## 6 Geopolitics, International Relations, and Warfare Economics

Energy shocks are not merely market shocks. They are strategic shocks. Conflict near maritime choke-points, sanctions, attacks on energy infrastructure, or military escalation can alter the inflation process through

$$H_t \longrightarrow E_t \longrightarrow \{\text{fuel, freight, fertiliser, construction materials, food}\} \longrightarrow \pi_t.$$

This channel matters differently across Switzerland and Australia.

### 6.1 Switzerland

Switzerland is externally exposed, but its inflation transmission is buffered by:

$$\text{Safe-haven inflows} \longrightarrow \text{CHF appreciation} \longrightarrow \text{lower import-price pressure.}$$

The SNB can also lean against excessive exchange-rate movements. The result is a low inflation-risk regime, though not a zero-risk regime.

## 6.2 Australia

Australia is a commodity economy, but not immune to global fuel and shipping shocks. Its inflation transmission includes:

Energy shock  $\longrightarrow$  transport cost  $\longrightarrow$  construction, food, retail, travel  $\longrightarrow$  wage bargaining and expectations.

If short-term inflation expectations rise, the pass-through multiplier increases:

$$\frac{\partial \pi_{t+1}}{\partial E_t} = \lambda_{\text{AU}}^E + \lambda_{\text{AU}}^{E,S} S_t,$$

where  $S_t$  is the salience of inflation in household and firm decision-making. In a high-salience regime, the same oil shock produces a larger inflation-risk premium.

## 7 Measurement Asymmetry

Australia has Treasury Indexed Bonds whose capital value is adjusted by CPI, and therefore a market-implied real-yield curve can be used to estimate breakeven inflation. However, these signals are contaminated:

$$\text{BEI}_{\text{AU}}(T) = \mathbb{E}\bar{\pi}_{\text{AU},T} + \text{IRP}_{\text{AU}}(T) - \text{Liq}_{\text{AU}}^R(T) + \Theta_{\text{AU}}(T).$$

The Reserve Bank of Australia emphasizes that inflation-linked markets are modest in size and less liquid than some larger advanced-economy markets, so breakevens should not be read as pure expectations.

Switzerland has a different problem. The absence of a deep, comparable domestic inflation-linked sovereign curve means that

$$\text{IRP}_{\text{CH}}(T)$$

is more latent. It must be inferred from nominal yields, surveys, inflation forecasts, exchange-rate dynamics, option-implied distributions, and international no-arbitrage restrictions.

## 8 Diagram of the Decomposition

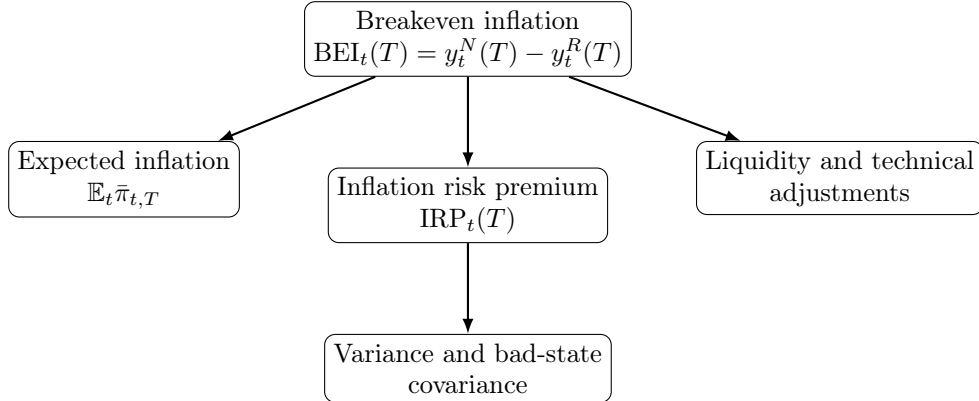


Figure 1: Inflation compensation decomposes into expected inflation, inflation risk premia, and market-friction adjustments.

## 9 Country Transmission Diagram

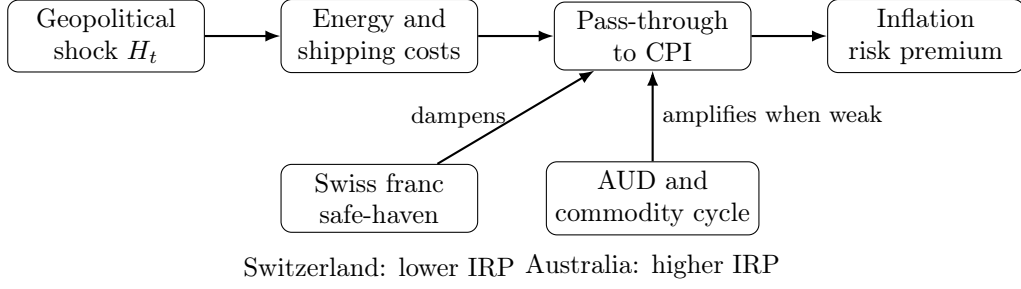


Figure 2: Geopolitical and warfare-economic inflation channels.

## 10 Statistical Identification

Let the latent state vector for country  $i$  be

$$z_{i,t} = \begin{pmatrix} \mathbb{E}_t \bar{\pi}_{i,t,T} \\ \text{IRP}_{i,t}(T) \\ \text{Liq}_{i,t}(T) \\ \kappa_{i,t} \end{pmatrix}.$$

The transition equation is

$$z_{i,t+1} = A_i z_{i,t} + B_i q_{i,t+1} + u_{i,t+1},$$

where

$$q_{i,t} = \begin{pmatrix} \Delta \text{oil}_t \\ \Delta x_{i,t} \\ \Delta \text{wages}_{i,t} \\ \Delta \text{housing}_{i,t} \\ H_t \\ \Delta \text{policy-surprise}_{i,t} \end{pmatrix}.$$

The observation system is

$$\begin{pmatrix} \text{BEI}_{i,t}(T) \\ s_{i,t}(T) \\ \pi_{i,t} \\ y_{i,t}^N(T) \end{pmatrix} = C_i z_{i,t} + D_i q_{i,t} + e_{i,t},$$

where  $s_{i,t}(T)$  is survey expected inflation. For Australia,  $\text{BEI}_{\text{AU},t}(T)$  is observed with measurement noise. For Switzerland, the breakeven equation may be missing, so identification relies more heavily on surveys, nominal yields, exchange rates, and cross-country restrictions.

## 11 Machine Learning Extension

A machine-learning nowcast of  $\text{IRP}_i(T)$  can be built from the state-space estimate. Let

$$\widehat{\text{IRP}}_{i,t}(T) = f_\theta \left( \pi_{i,t}, \Delta \pi_{i,t}, y_{i,t}^N, \Delta x_{i,t}, \sigma_{i,t}^{FX}, \sigma_t^{\text{oil}}, H_t, \text{CPI surprises}_{i,t}, \text{policy surprises}_{i,t} \right),$$

where  $f_\theta$  may be a random forest, gradient boosting model, neural network, or regularized regression. The model is trained not to replace asset-pricing structure but to improve real-time forecasting of the latent premium:

$$\min_{\theta} \sum_{i,t,T} \left( \widehat{\text{IRP}}_{i,t}(T) - \text{IRP}_{i,t}^{KF}(T) \right)^2 + \lambda \|\theta\|^2,$$

where  $\text{IRP}^{KF}$  is the Kalman-filter or Bayesian state-space estimate.

**Algorithm 1** (Hybrid extraction of inflation risk premia).

**Input:** Nominal yields, indexed-bond yields where available, inflation swaps where available, CPI, survey expectations, exchange rates, oil prices, wage indicators, housing costs, geopolitical-risk indicators.

**Step 1.** Compute raw inflation compensation:

$$\text{BEI}_{i,t}(T) = y_{i,t}^N(T) - y_{i,t}^R(T),$$

where  $y^R$  is available.

**Step 2.** Estimate expected inflation using surveys, central-bank forecasts, and macro predictors.

**Step 3.** Adjust for liquidity and technical effects:

$$\widetilde{\text{BEI}}_{i,t}(T) = \text{BEI}_{i,t}(T) + \widehat{\text{Li}}_{i,t}(T) - \widehat{\Theta}_{i,t}(T).$$

**Step 4.** Extract the preliminary premium:

$$\widehat{\text{IRP}}_{i,t}(T) = \widetilde{\text{BEI}}_{i,t}(T) - \widehat{\mathbb{E}_t \pi_{i,t,T}}.$$

**Step 5.** Estimate a state-space model to smooth the premium and impose no-arbitrage restrictions.

**Step 6.** Train a machine-learning nowcaster on macro-financial and geopolitical features.

**Output:** A term structure of inflation risk premia for Switzerland and Australia.

## 12 Formal Ranking Result

**Assumption 1** (Relative exposure). *For a given horizon  $T$ , Australia has weakly larger priced inflation-shock exposure:*

$$(\lambda_{\text{AU}}^E)^2 \sigma_E^2 + (\lambda_{\text{AU}}^X)^2 \sigma_{X,\text{AU}}^2 + (\lambda_{\text{AU}}^W)^2 \sigma_{W,\text{AU}}^2 + (\lambda_{\text{AU}}^H)^2 \sigma_H^2 > (\lambda_{\text{CH}}^E)^2 \sigma_E^2 + (\lambda_{\text{CH}}^X)^2 \sigma_{X,\text{CH}}^2 + (\lambda_{\text{CH}}^W)^2 \sigma_{W,\text{CH}}^2 + (\lambda_{\text{CH}}^H)^2 \sigma_H^2.$$

**Assumption 2** (Credibility and currency buffer). *Switzerland has a larger safe-haven and credibility buffer:*

$$\delta_T \kappa_{\text{CH}} + \psi_T \text{CHF}_{\text{safe}} > \delta_T \kappa_{\text{AU}} + \psi_T \text{AUD}_{\text{safe}}.$$

**Theorem 1** (Inflation risk premium ranking). *Under the covariance representation, relative exposure assumption, and credibility-buffer assumption, Australia has a higher inflation risk premium than Switzerland at horizons where energy, wage, housing, and geopolitical pass-through matter:*

$$\text{IRP}_{\text{AU}}(T) > \text{IRP}_{\text{CH}}(T).$$

*Proof.* By the covariance representation,

$$\text{IRP}_i(T) = \frac{1}{T-t} \left[ \frac{1}{2} \text{Var}_i(X_{t,T}) - \text{Cov}_i(\log M_{t,T}^R, X_{t,T}) \right].$$

The relative exposure assumption implies

$$\text{Var}_{\text{AU}}(X_{t,T}) > \text{Var}_{\text{CH}}(X_{t,T})$$

after controlling for liquidity and technical effects. Moreover, if inflation shocks arrive in bad states, then

$$-\text{Cov}_{\text{AU}}(\log M_{t,T}^R, X_{t,T}) > -\text{Cov}_{\text{CH}}(\log M_{t,T}^R, X_{t,T}).$$

The credibility-buffer assumption further lowers the Swiss premium by reducing both the variance of inflation expectations and the bad-state covariance of inflation surprises. Therefore,

$$\text{IRP}_{\text{AU}}(T) - \text{IRP}_{\text{CH}}(T) > 0.$$

□

## 13 Scenario Analysis

Define three scenarios:

$$S_0 = \text{baseline}, \quad S_1 = \text{energy escalation}, \quad S_2 = \text{energy escalation with expectations de-anchoring}.$$

A simple stress-test premium is

$$\text{IRP}_i^{S_k}(T) = \text{IRP}_i^{S_0}(T) + \Delta_i^{E,k}(T) + \Delta_i^{X,k}(T) + \Delta_i^{W,k}(T) + \Delta_i^{H,k}(T) - \Delta_i^{C,k}(T),$$

where  $\Delta_i^{C,k}$  is the credibility offset.

Table 2: Qualitative scenario ranking

| Scenario                           | Switzerland                          | Australia                           | Relative ranking                                  |
|------------------------------------|--------------------------------------|-------------------------------------|---------------------------------------------------|
| Baseline                           | Low premium                          | Moderate premium                    | $\text{IRP}_{\text{AU}} > \text{IRP}_{\text{CH}}$ |
| Energy escalation                  | Mild to moderate increase            | Large increase                      | Gap widens                                        |
| Expectations de-anchoring          | Contained unless CHF weakens sharply | High increase                       | Gap widens sharply                                |
| Global recession with disinflation | Premium may remain compressed        | Premium declines but stays positive | Gap narrows                                       |

## 14 Policy Interpretation

The policy problem differs across countries. Switzerland's central bank must avoid both deflationary pressure from excessive currency appreciation and imported inflation from energy shocks. Australia's central bank must prevent a temporary energy shock from becoming a persistent wage-price and expectations shock.

A simple central-bank loss function is

$$\mathcal{L}_i = \mathbb{E}_t \sum_{s=t}^{\infty} \beta^{s-t} [(\pi_{i,s} - \pi_i^*)^2 + \lambda_y (y_{i,s} - y_{i,s}^*)^2 + \lambda_f F_{i,s}^2],$$

where  $F_{i,s}$  is financial stress. Inflation risk premia enter because they affect long-term nominal yields:

$$y_{i,t}^N(T) = r_{i,t}^R(T) + \mathbb{E}_t \bar{\pi}_{i,t,T} + \text{IRP}_{i,t}(T) - \text{Liq}_{i,t}(T) + \Theta_{i,t}(T).$$

A higher IRP tightens financial conditions even before the central bank changes the policy rate.

## 15 Conclusion

The inflation risk premium is higher in Australia than in Switzerland. The reason is not merely that Australia's current inflation is higher. The deeper reason is that Australia's inflation distribution has fatter right tails at relevant horizons, and those tails are connected to bad macro-financial states: energy shocks, conflict-driven commodity volatility, housing and construction costs, wage pressure, and exchange-rate vulnerability. Switzerland's premium is lower because inflation is low, the Swiss franc is a safe-haven currency, and monetary credibility compresses both expected inflation dispersion and the covariance of inflation with bad states.

The final ranking is:

$$\boxed{\text{IRP}_{\text{AU}}(T) > \text{IRP}_{\text{CH}}(T)}$$

especially for short and medium maturities. At long horizons, the gap is smaller because both central banks retain credibility, but Australia still carries the larger inflation-risk compensation.



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## Glossary

### Breakeven inflation

The difference between nominal and real yields of the same maturity; a market measure of inflation compensation, not pure expected inflation.

### Inflation risk premium

Compensation for uncertainty about future inflation and its covariance with bad economic states.

### Liquidity premium

Yield compensation caused by market depth, transaction costs, balance-sheet constraints, or scarcity of securities.

**Safe-haven currency**

A currency that tends to appreciate during global stress, often dampening imported inflation.

**Treasury Indexed Bond**

An Australian government security whose capital value is adjusted for movements in CPI.

**Geopolitical inflation shock**

A price shock caused by war, sanctions, maritime disruption, energy insecurity, or strategic-resource conflict.

**Pass-through**

The transmission of input-cost or exchange-rate changes into consumer prices.

**Anchored expectations**

A condition in which long-run inflation expectations remain close to the central bank's target despite short-run shocks.

**Warfare economics**

The study of how conflict, military risk, sanctions, logistics, and strategic resources affect economic allocation and prices.

**State-space model**

A statistical model in which latent variables evolve over time and are inferred from noisy observations.

**The End**